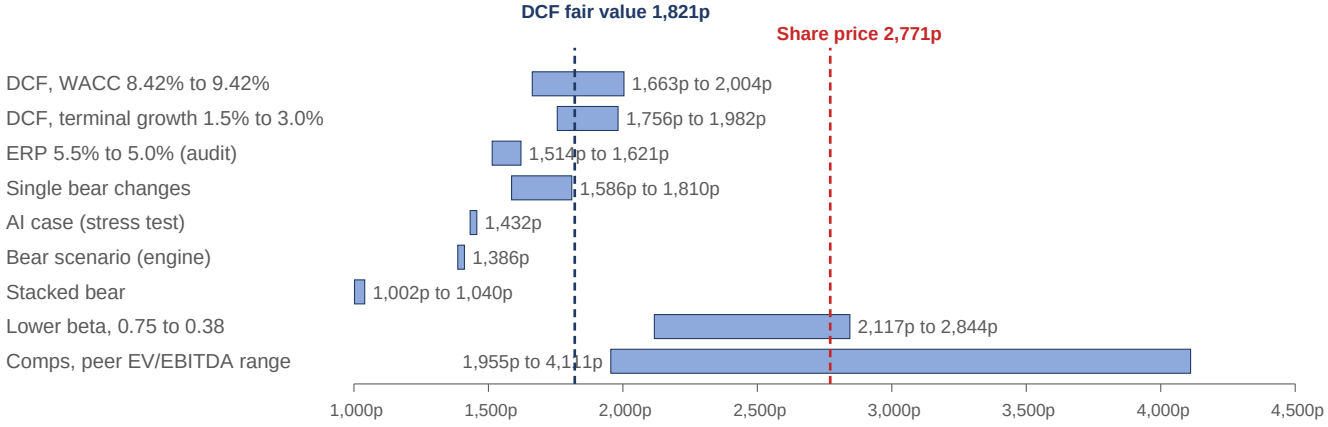
RELX PLC (LSE: REL.L)

SELL	Desk rating: SELL (PM confirmed 15 Oct 2026; re-run 15 Oct 2026 after evidence audit)	Fair value 1,821p	Share price 2,771p (13 Oct 2026 close)	Upside -34.3%	Bear case 1,386p

Memo of 14 October 2026, updated 15 October 2026 after the evidence audit: the PM set the equity risk premium (ERP) at 4.2% (Damodaran implied ERP, 1 Oct 2026; was 5.0% with no source). Nothing else in the base changed. Desk rule: BUY at +15% or more, SELL at -10% or worse. **HOLD starts at 2,494p, BUY at 3,187p.** Per-share values in pence (GBp); totals in GBP m (RELX reports in pounds, so no exchange rate is used); 1,743.75m shares (25 Sep 2026).



Thesis

- **SELL on the desk's discount rate, not a firm call.** The DCF gives 1,821p, 34.3% below the price, at a WACC of 8.92%, now inside the desk's 6-9% range but only 0.08 pt below the top. Cost of equity is 9.54% (gilt 5.45%, beta 0.9729, ERP 4.2%). On these cash flows the price implies a WACC of 6.93%.
- **The discount rate alone can flip it.** HOLD needs a WACC of 7.38%, a beta of 0.535 or a gilt of 3.80%. The comps median is 2,990p (HOLD territory; range 1,955p to 4,111p); the DCF is 39.1% below it, and its implied exit multiple of 8.6x EBITDA is below every peer (11.1x to 20.7x; RELX trades at 14.6x) (FLAG). RELX's own 5-year monthly beta (0.3783) gives 2,844p, HOLD (+2.6%), but its R-squared is 0.04.
- **The cash flows cannot flip it.** HOLD would need a 44.5% margin, 12.4% a year growth in FY27-30 or 4.89% terminal growth. Every sourced bear and audit line stays SELL (ERP 4.2% to 5.5%: 1,821p to 1,514p). AI is a named principal risk (shares -14.4% on 3 Feb 2026), but Legal growth is accelerating (+10% in H1 2026).

Valuation

- **Growth (GBP):** base sales GBP 9,590m (FY25, incl. print 399); +3.0% in FY26, then 5.0% a year FY27-30 (constant-currency, already net of print run-off and disposals). An independent industry growth forecast is MISSING (all sources blocked); the 5.0% rests on RELX's own history.
- **Margin:** 35.0% flat (H1 2026 adjusted margin without print). Savings flow-through: none (no programme modelled). Tax 22.8%; capex 7.10%, D&A 5.07% of sales; working capital -15.5% of sales.
- **WACC 8.92%:** UK gilt 5.45% (13 Oct 2026, aggregator sites only; Bank of England blocked here, FLAG), beta 0.9729 (Damodaran global Information Services 0.8737, relevered), ERP 4.2% (seen only in search summaries; PM to confirm on Damodaran's site, FLAG), cost of equity 9.54%; cost of debt 6.15% (gilt + 0.70% single-A spread, a US-dollar index added to a sterling gilt, FLAG), 4.75% after tax; debt weight 12.82%.
- **Terminal:** growth 2.0%, RONIC 15.4%. Terminal value is 71.5% of EV; implied exit 8.6x EBITDA.

Bridge (GBP m, 31 Dec 2025): EV 39,616.5 - net debt 7,104 (ex leases) - minorities 24 + investments 131 = 32,619.5; rolled forward at 9.54% to 13 Oct 2026, less dividends 1,217 and buybacks 2,056.2 = 31,759.4 = **GBP 18.21 = 1,821p**. Per share: PV of FY26-30 cash flows 696p + PV of terminal value 1,744p - net debt 438p - minorities 1p + investments 8p - dividends 70p - buybacks 118p since December.

Audit disclosures: Employee Benefit Trust shares are in the count (+5.6p if excluded, per the audit); the GBP 366m interim dividend is RELX's expected cost, not yet published cash; buybacks after 25 Sep 2026 are not yet filed (cash and shares both left out).

Value per share (pence)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 7.92%	2,116	2,218	2,338	2,482
WACC 8.42%	1,923	2,004	2,098	2,209
WACC 8.92%	1,756	**1,821**	1,896	1,982
WACC 9.42%	1,611	1,663	1,722	1,790
WACC 9.92%	1,482	1,525	1,572	1,626

Every cell is SELL (top corner 12p short of HOLD). Comps: median EV/EBITDA 15.7x (7 peers) on calendarised EBITDA GBP 3,902m gives 1,955p / 2,990p / 4,111p; four peers are Yahoo-only data, Experian's year ends 3 months earlier, and NTM EBITDA and RELX forward EPS are MISSING.

Fundamentals

- **Steady underlying growth, weak in pounds:** underlying +7%, +9%, +8%, +7%, +7% (FY21-25), +7% in H1 2026; reported in GBP +1.9%, +18.1%, +7.1%, +3.0%, +1.7%. The gap is currency, print run-off (print revenue -22.8% in FY25), disposals and exhibition cycling.
- **Margins rising every year:** adjusted 30.5%, 31.4%, 33.1%, 33.9%, 34.8%, and 35.5% in H1 2026; without print 32.4% (FY23), 33.4%, 34.3%, 35.0% (H1 2026). The flat 35.0% is cautious; each point is worth 71p.
- **Returns and cash:** ROIC (acquisitions at cost) 11.9% rising to 15.4%; adjusted cash conversion 97-101%.
- **Mix (FY25 underlying growth):** Risk +8%, STM +5%, Legal +9% (+10% in H1 2026), Exhibitions +8%; STM and Legal are 49% of revenue without print. Print earned 46.4% in FY25 and is being run off. North America is 58% of revenue.

Risks

- **Beta:** 0.9729 bottom-up. Own regressions vs the FTSE 100: 0.67 (2y weekly), 0.66 (5y weekly), 0.38 (5y monthly), R-squared 0.04-0.12; raw peer median 0.75. The bottom-up beta is outside the 95% range of the 5y weekly regression (0.45-0.87). The main risk to the call: HOLD now needs 0.535, close to the Blume-adjusted 0.58 (2,400p, SELL).
- **Volatility:** 36.0% (1 year) and 23.2% (5 years) vs 11.6% and 12.5% for the FTSE 100. Largest daily fall -14.4% (3 Feb 2026, AI legal tool launch).
- **Drawdown:** -51.3% over 5 years, 4,133p (13 Feb 2025) to 2,012p (11 Feb 2026), dividend-adjusted; the price is still 33% below the peak (FTSE 100: -13.4%).
- **Leverage:** net debt / adjusted EBITDA 1.87x (Dec 2025) and 2.22x (Jun 2026, after GBP 1,750m of H1 buybacks); RELX reports 2.0x and 2.3x. No numeric target. Rated A3 / A- / BBB+ (Fitch). In this WACC framework more debt slightly raises the value (+13p), so leverage is a risk, not a value line.

Bear case and our response

Pence per share, impact vs 1,821p (ERP 4.2%). A: against buying; B: against the SELL. Responses are the PM's (decision 14, 15 Oct 2026, set at ERP 5.0%), unchanged.

Challenge	Test at ERP 4.2%: value (impact)	PM response	Still holds?
A1. Bear margin 33.1% is a group figure incl. print	32.4% like-for-like: 1,636p (-185p); 33.1%: 1,687p (-134p)	Accepted: bear margin is now 32.4% (like-for-like)	Yes; in the brief, SELL
A2. AI caps Legal and STM pricing	Growth 3%: 1,661p (-160p); g 1.5%: 1,756p (-65p); AI case: 1,432p (-389p)	Main risk, not a base change: Legal growth is speeding up and base growth is already below organic	Yes; AI case SELL
A3. Reinvestment under-charged	RONIC = WACC: 1,632p (-189p); acquisitions 2.7%: 1,748p (-73p); tax 25.0%: 1,757p (-65p)	Keep: RELX's own ROIC and tax estimate; growth is organic, so acquisitions stay out	Yes; all SELL
A4. Discount rate, leverage, price path	Engine bear: 1,386p (-435p); beta 1.195: 1,586p (-235p); ERP 5.0% / 5.5%: 1,621p / 1,514p; BBB spread: 1,810p (-11p)	Keep: latest Damodaran beta; the bear's is an older average	Yes; all SELL
A5. Stacked bear	1,002p (-819p) to 1,040p (-781p)	Noted; SELL	Yes; SELL
B1. Market-implied WACC 6.93%	Needs beta 0.429; beta 0.38 gives 2,844p (HOLD)	Rejected as a basis: needs a beta below every peer	Yes; 0.429 is below every peer (0.58)

Challenge	Test at ERP 4.2%: value (impact)	PM response	Still holds?
B2/B8. 2.0% terminal growth vs a 5.45% gilt; other gilt readings	g 2.33%: 1,869p (+48p); g 2.50%: 1,896p (+75p); gilt 4.94%: 1,995p (+174p); 5.30%: 1,870p (+48p); 5.21%: 1,900p (+78p); 4.99% (stale): 1,977p (+155p)	Partly accepted: the mismatch is real but small; gilt on the run date per the desk rule	Yes; all SELL
B3. Beta 0.973 vs regressions and peers	0.75: 2,117p (+296p); 0.66: 2,264p (+443p); 0.58: 2,400p (+579p); 0.38: 2,844p (+1,022p, HOLD)	Keep: regressions too noisy; peer figure not relevered	Yes, but HOLD now needs 0.535 (was 0.449)
B4. Implied exit 8.6x below every peer	RONIC 25.1%: 1,922p (+101p); g 4.38% for 11.1x: 2,314p (SELL)	Noted: a symptom of the discount rate	Yes; same reading
B5. Flat margin vs rising record	35.5%: 1,857p (+35p); 38.6% (judgement): 2,076p (+255p)	Keep flat: no number from RELX; cautious and stated	Yes; SELL
B6. 5% growth vs 7% underlying	7% FY27-30: 1,990p (+169p)	Keep: 7% leaves out print run-off and disposals	Yes; SELL
B7. Comps 2,990p	+7.9% vs price, HOLD territory	Cross-check only: peers fell on the same AI fears	Yes; DCF now 39.1% below

Generous stacks: with the run-date 5.45% gilt, two now reach HOLD, but only with a lower beta: beta 0.75 with growth 7% gives 2,586p, beta 0.66 with growth 5% gives 2,546p; with beta 0.973 the best stack is 2,409p (SELL). **Bear agent's conclusion:** the SELL is robust to every cash-flow and terminal assumption and to every sourced ERP and gilt reading, but now depends more on beta. **PM view (15 Oct 2026):** SELL on the desk's discount rate, moderate conviction; the call rests on today's gilt and a market-average beta. Its gilt trigger is now 3.80% (was 3.11%).

Sources

- RELX Annual Report 2025 (20-F ex 15.2, SEC accession 0001104659-26-017277, filed 19 Feb 2026): balance sheet p.141, notes 1-2 (pp.145-147), note 15 (p.167), note 20 (p.176), five-year summary p.186, p.199, pp.204-206; XBRL.
- RELX FY2025 results 6-K ex 99.1 (0000929869-26-000008, 12 Feb 2026) pp.2-29; H1 2026 interim results 6-K ex 99.1 (0000929869-26-000054, 23 Jul 2026) pp.1-28; buyback, dividend and voting-rights 6-Ks (0000929869-26-000041, -000056, -000064, -000066, -000068, -000071); FY21-FY24 results 6-Ks (guidance record); RELX Capital term sheet (0001193125-25-061449, 24 Mar 2025).
- UK 10-year gilt on 13 Oct 2026: Investing.com and Trading Economics; aggregators, not a primary source (Bank of England site blocked). FRED: BAMLC0A3CA, BAMLC0A4CBBB (US-dollar corporate indices), DGS10, DGS20, DFII10, T10YIE, IRLTLT01GBM156N. Damodaran betaGlobal.xls (5 Jan 2026, PM upload).
- Equity risk premium 4.2%: Damodaran implied ERP, 1 Oct 2026 (PM decision 15 Oct 2026; docs/audit-2026-10-15/erp-evidence.md; seen in search summaries only, stern.nyu.edu blocked). Alternatives: Kroll 5.0%, Fernandez et al. 2025 survey 5.5% (SSRN 5260463).
- Evidence audit 15 Oct 2026: docs/audit-2026-10-15/RELX.md and summary.md (findings V1, V2, M2, M3, C2, C5; EBT impact +5.6p).
- Yahoo Finance (non-filing): REL.L, ^FTSE and peer prices (to 13 Oct 2026). Peers: SEC EDGAR XBRL (TRI, VRSK, SPGI, MCO); Yahoo (Wolters Kluwer, Experian, LSEG, Informa). Thomson Reuters Q2 2026 6-K (0001193125-26-333835).
- PM decisions: briefs/RELX.yaml, docs/phase5/brief-relx.md and docs/phase5/relx-*.md (bear responses: relx-bear-responses.md). Agent outputs: runs/RELX/2026-10-14/ (data, risk, fundamentals, valuation, bear; re-run sections of 15 Oct 2026).